



Morgan Stanley Global Macro Forum

Payrolls, Policy, and the Yen

July 6, 2026

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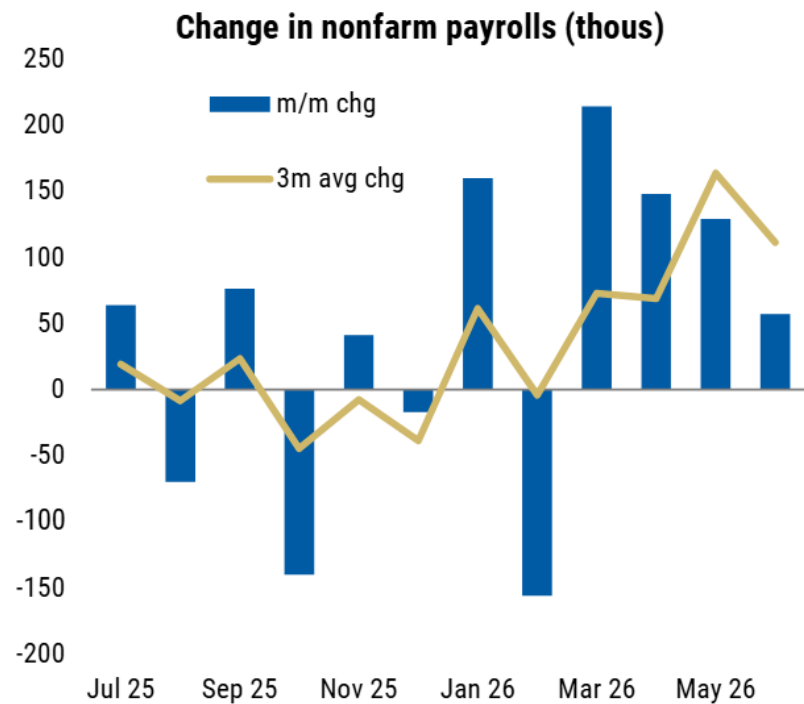
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Michael Gapen
Chief US Economist

Payroll Growth Decelerated, Pointing to Less Risk of Overheating



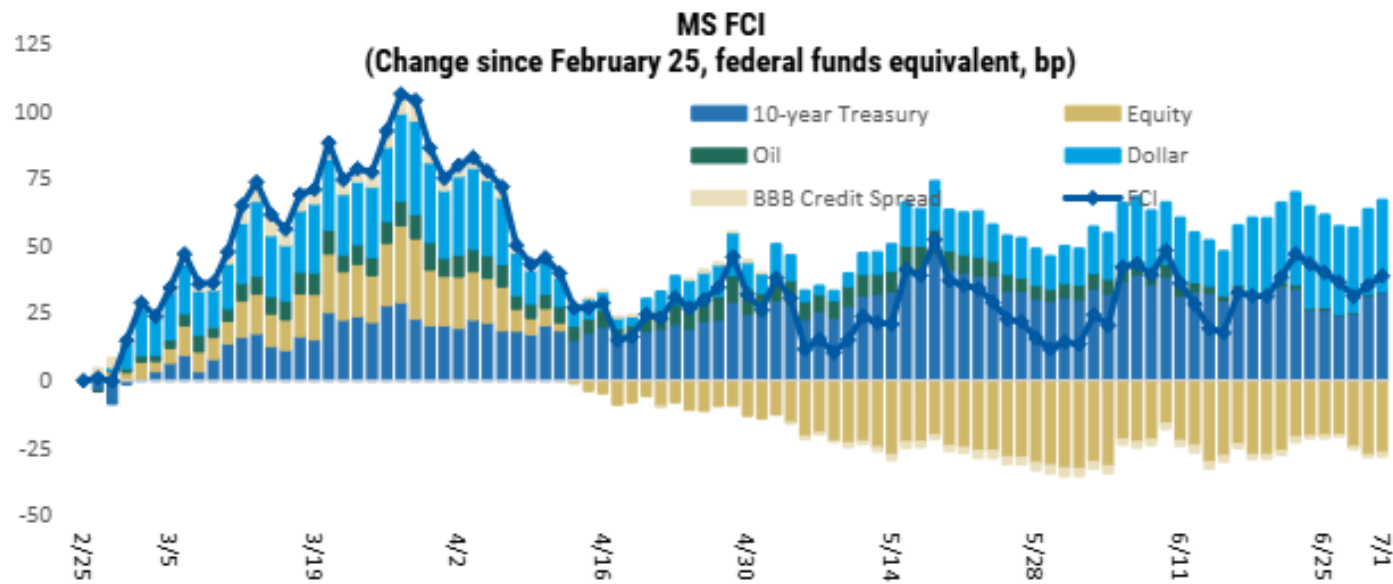
Source: BLS, Haver Analytics, Morgan Stanley Research

Prime Working Age Participation Rates Dropped Inexplicably in June



Source: BLS, Haver Analytics, Morgan Stanley Research

Financial Conditions Tightened Following the Middle East Conflict



Source: Bloomberg, Morgan Stanley Research

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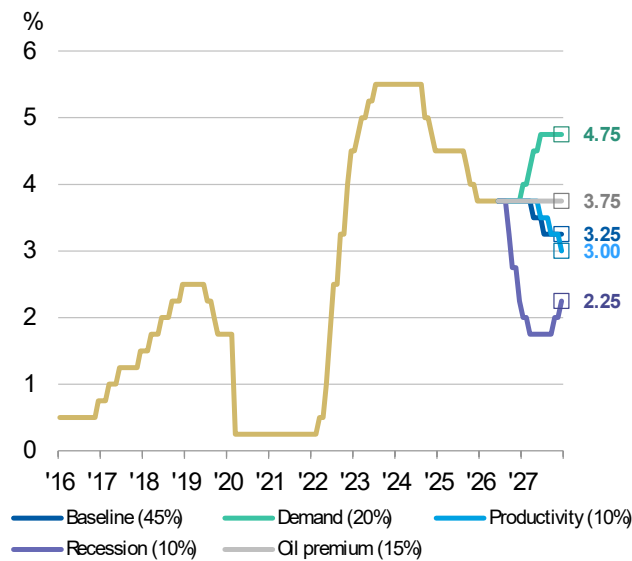
Matthew Hornbach

Global Head of Macro Strategy

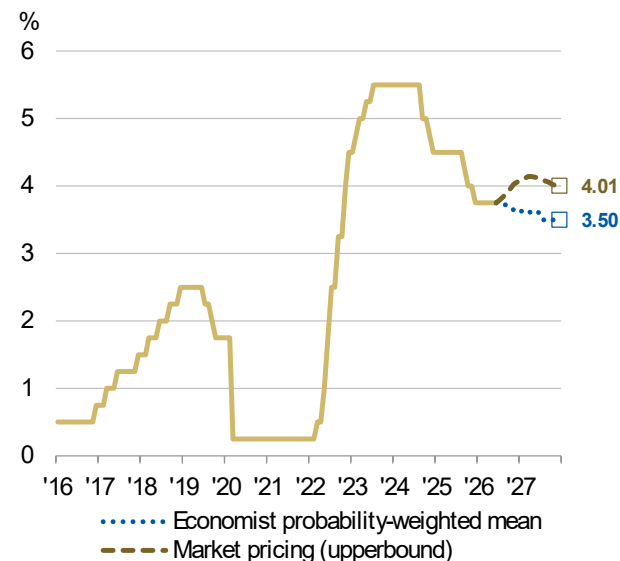
Market-Implied Path Still Too Hawkish vs. Our Economists' View

Current market pricing implies tightening vs the easing in the probability-weighted path envisioned by our economists

Target fed funds range upper bound and the US
Economics baseline and 4 scenarios



Target fed funds range upper bound and probability-
weighted mean vs. market pricing

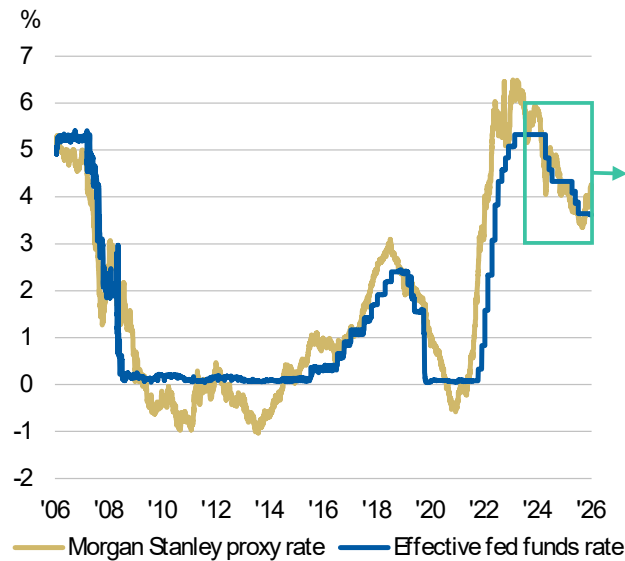


Source: Federal Reserve, Bloomberg, Morgan Stanley Research estimates

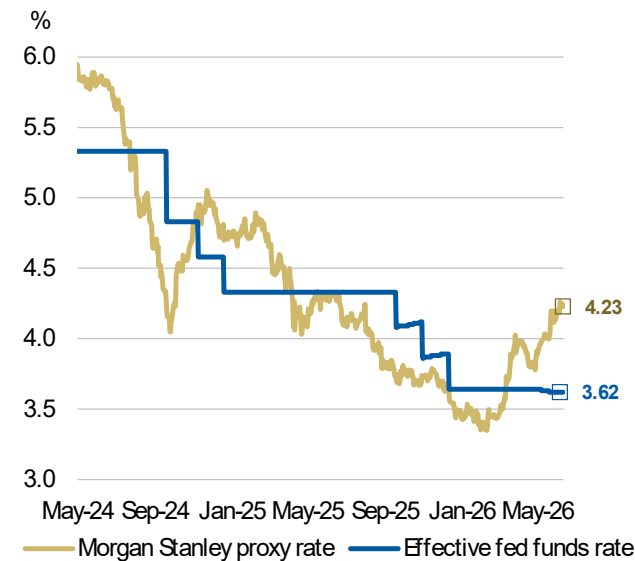
Higher Rates Since the Iran Conflict = 100bp Worth of Rate Hikes

According to the proxy funds rate of the San Francisco Fed, the rate rise across US Treasuries, US credit, and US Mortgage-Backed Securities effectively hiked rates.

Morgan Stanley proxy effective fed funds rate and actual effective fed funds rate



Morgan Stanley proxy effective fed funds rate and actual effective fed funds rate: 2024-2026

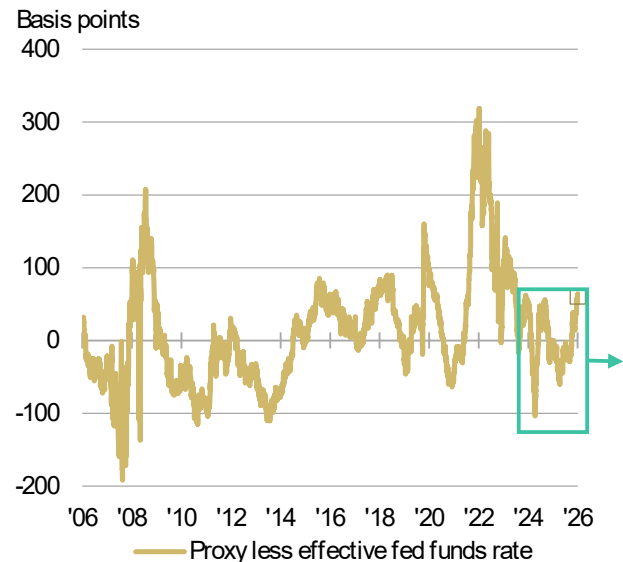


Source: FRB San Francisco, Bloomberg, Morgan Stanley Research

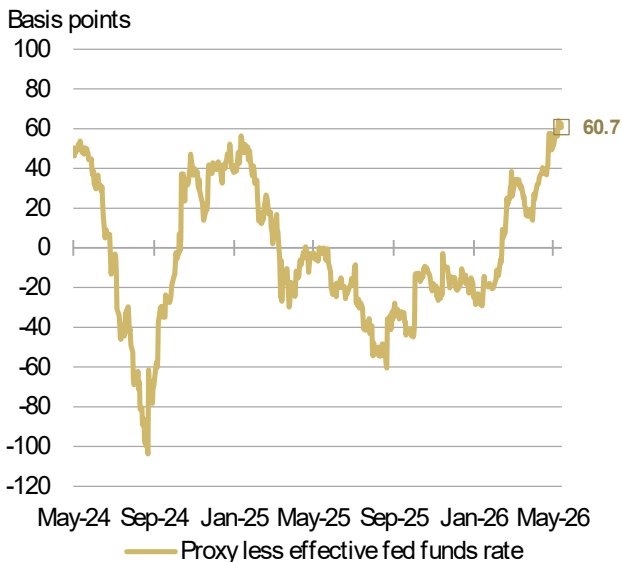
We Think This 100bp of Effective Rate Hikes Looks Overdone

Outside of normal times like the GFC and GCR, the spread between the proxy funds rate and the effective funds rate stays within a +/- 100bp band

Morgan Stanley proxy effective fed funds rate less actual effective fed funds rate



Morgan Stanley proxy effective fed funds rate less actual effective fed funds rate: 2024-2026



Source: FRB San Francisco, Bloomberg, Morgan Stanley Research

Morgan Stanley

Michael Wilson

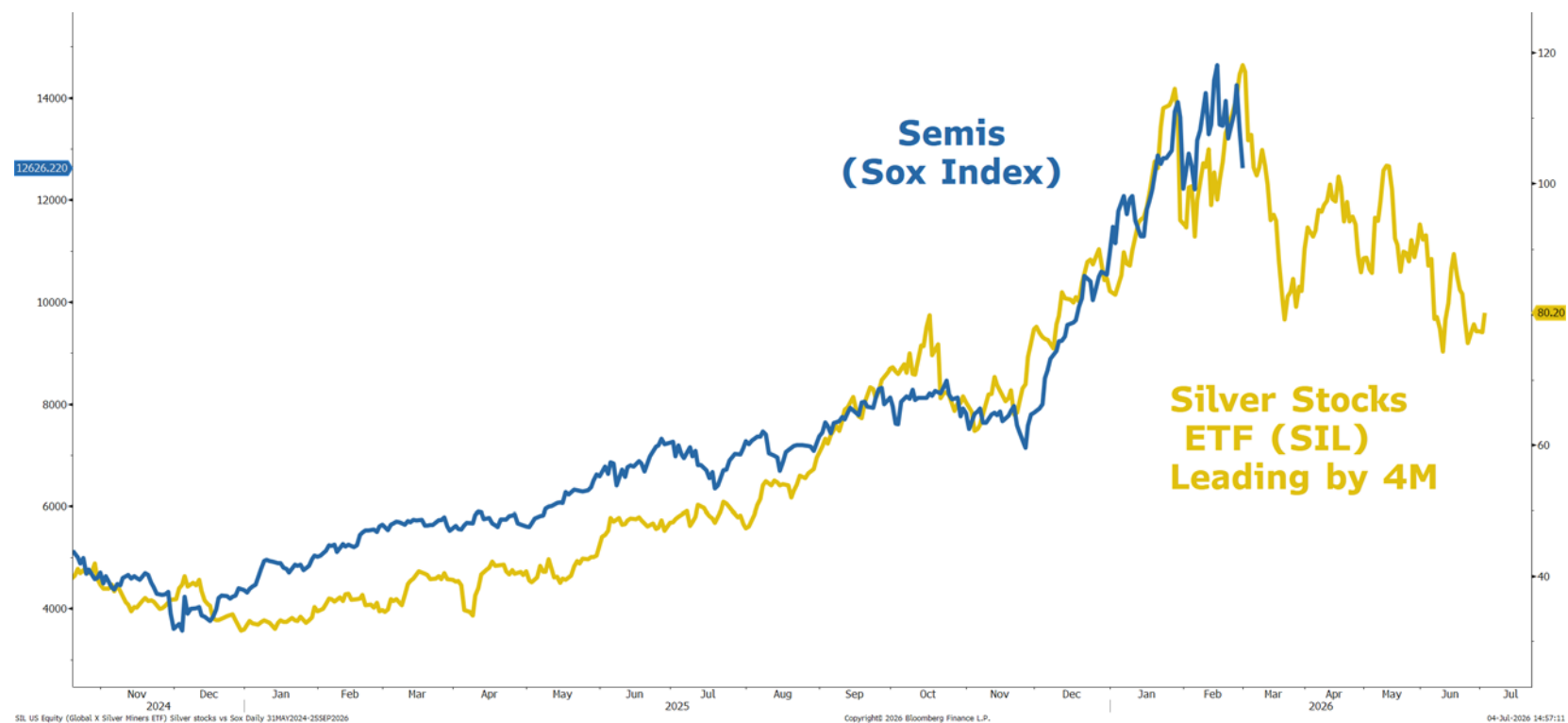
Chief Investment Officer and Chief US Equity Strategist

The Broadening Out Story Is Re-Emerging as Oil Prices Fall and Take Pressure Off Fed to Raise Rates. Relative P/Es Are Already Back to the Highs as the Lead Indicator.

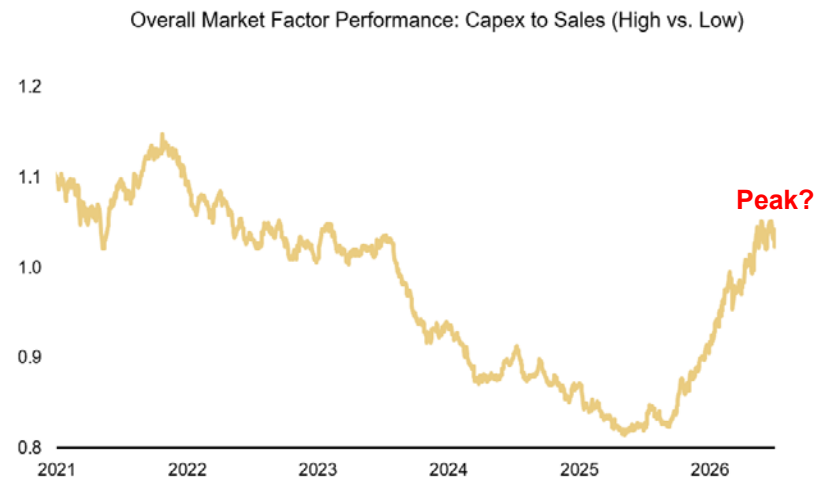
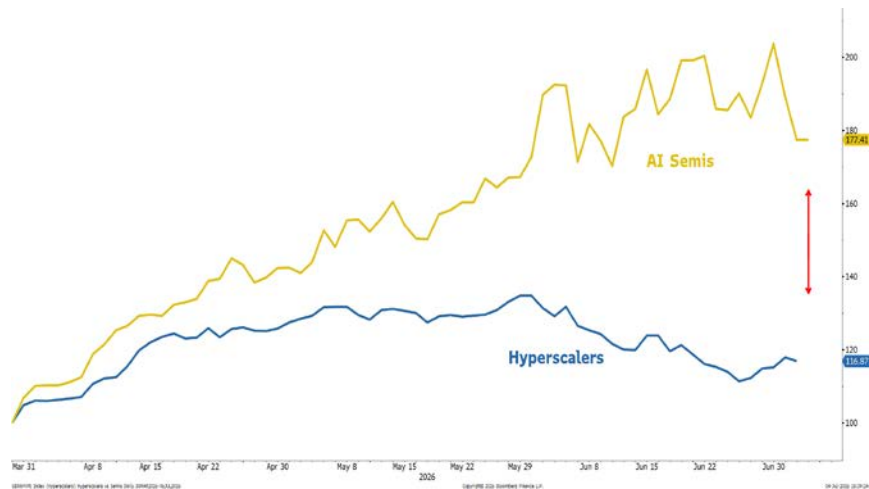


Source: Bloomberg, Morgan Stanley Research

And It Could Be Aided by a Peak in Momentum Leadership—Semis

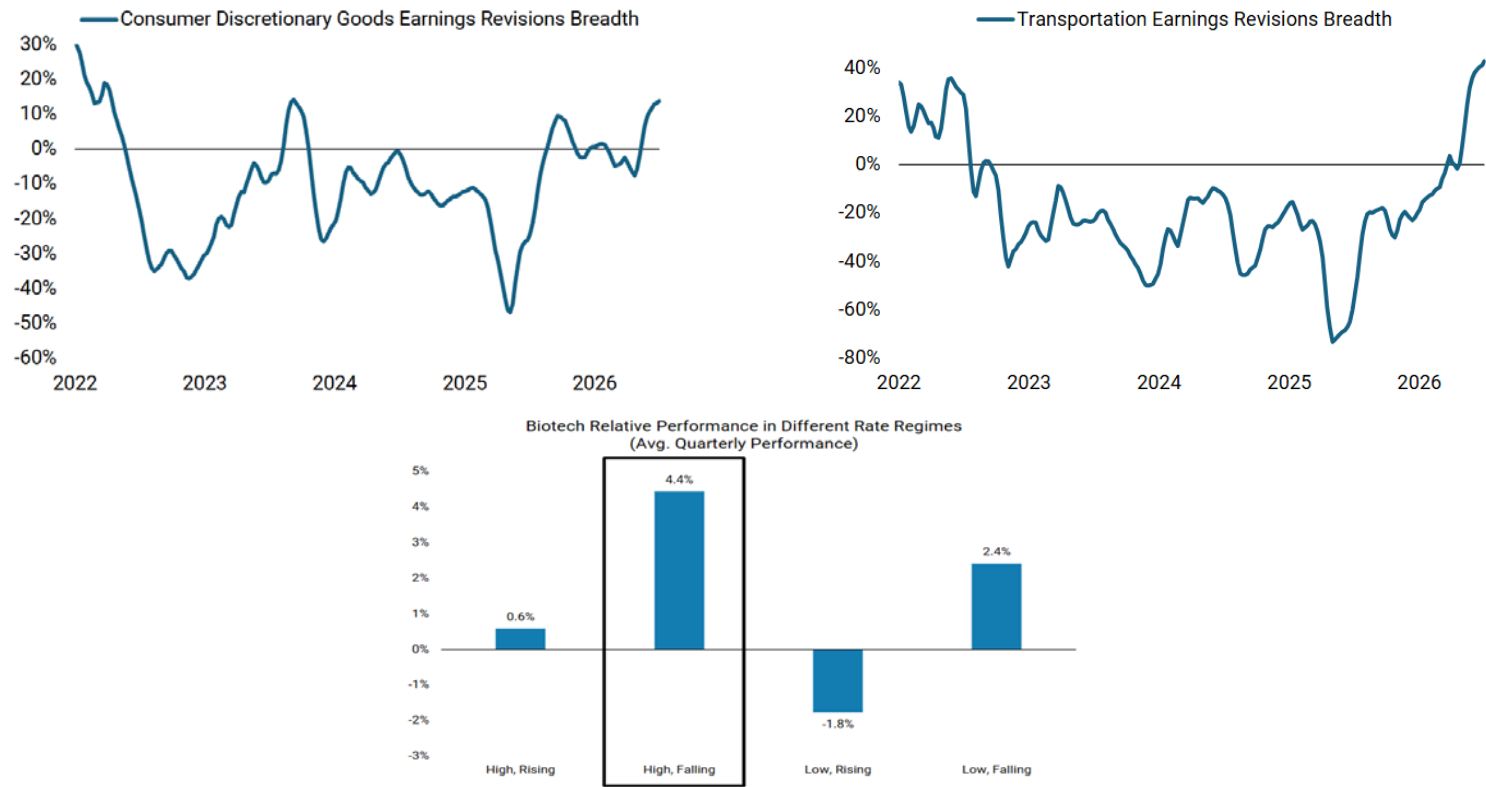


We Like Hyperscalers Over Semis as Market Starts to Demand More Capital Discipline



Source: Bloomberg, Compustat, Morgan Stanley Research

Our Favorite Broadening Beneficiaries Include Consumer Discretionary Goods, Transports and Biotech as Lower Oil Leads to Lower Rates



Source: FactSet, Morgan Stanley Research

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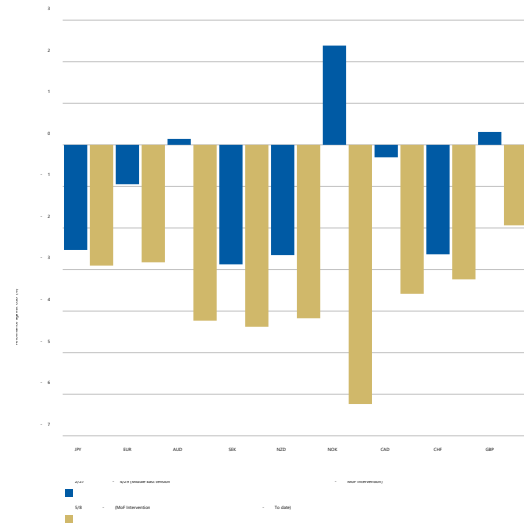
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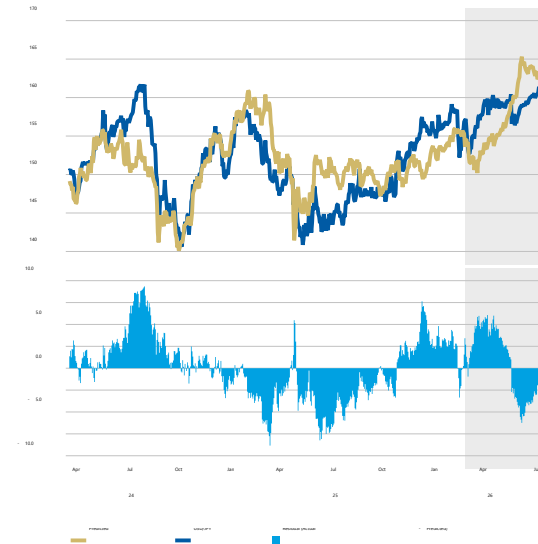
Higher USD/JPY Has Been Led by Broad USD Strength

JPY has not particularly underperformed since the previous FX intervention. The current USD/JPY level is fair relative to Fed pricing, risk sentiment, and terms of trade.

G10 spot FX performance against USD



USD/JPY versus its fair value implied by US terminal rate pricing, risk sentiment, and Japan's terms of trade



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Vishwanath Tirupattur
Chief Fixed Income Strategist

Key Takeaways

- **US economics perspective:** June employment data were softer-than-expected with downward revisions to prior months. We think lower oil prices, remarks from Chairman Warsh that inflation risks have come down, and less robust hiring mean the Fed will stay on hold in July, and for the remainder of the year. Financial conditions are moderately more restrictive than pre-conflict levels.
- **US treasury market views:** Current market pricing implies tightening vs the easing in the probability-weighted path envisioned by our economists. According to the proxy funds rate of the San Francisco Fed, the rate rise across US Treasuries, US credit, and US Mortgage-Backed Securities effectively hiked rates. We think this 100bp of effective rate hikes looks overdone.
- **US equity market views:** The broadening out story is re-emerging as oil prices fall and take pressure off Fed to raise rates, and it could be aided by a peak in momentum leadership—semis. We like hyperscalers over semis. Our Favorite broadening beneficiaries include consumer discretionary goods, transports and biotech as lower oil leads to lower rates.
- **Perspective on JPY:** JPY has not particularly underperformed since previous FX intervention. The current USD/JPY level is fair relative to Fed pricing, risk sentiment, and terms of trades.

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
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Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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